Revenue fluctuation and driver analysis

Cafe business case study

Data and analytical approach

Revenue drivers analyzed:
- Order Volume → number of transactions
- Product Mix → item composition & pricing

Analysis scope:
- Monthly comparison (Feb–Jun) for increased revenue
- Monthly comparison (Jun-Jul for decreased revenue
- Volume trends
- Price distribution
- Item contribution

Business problem / questions

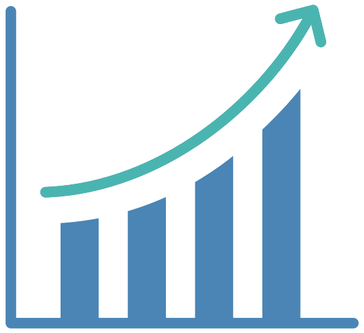
What drives revenue fluctuations: volume, product mix, or pricing?

Revenue growth was driven by **product mix**, not order volume

June generated **the highest revenue** despite lower order volume than March

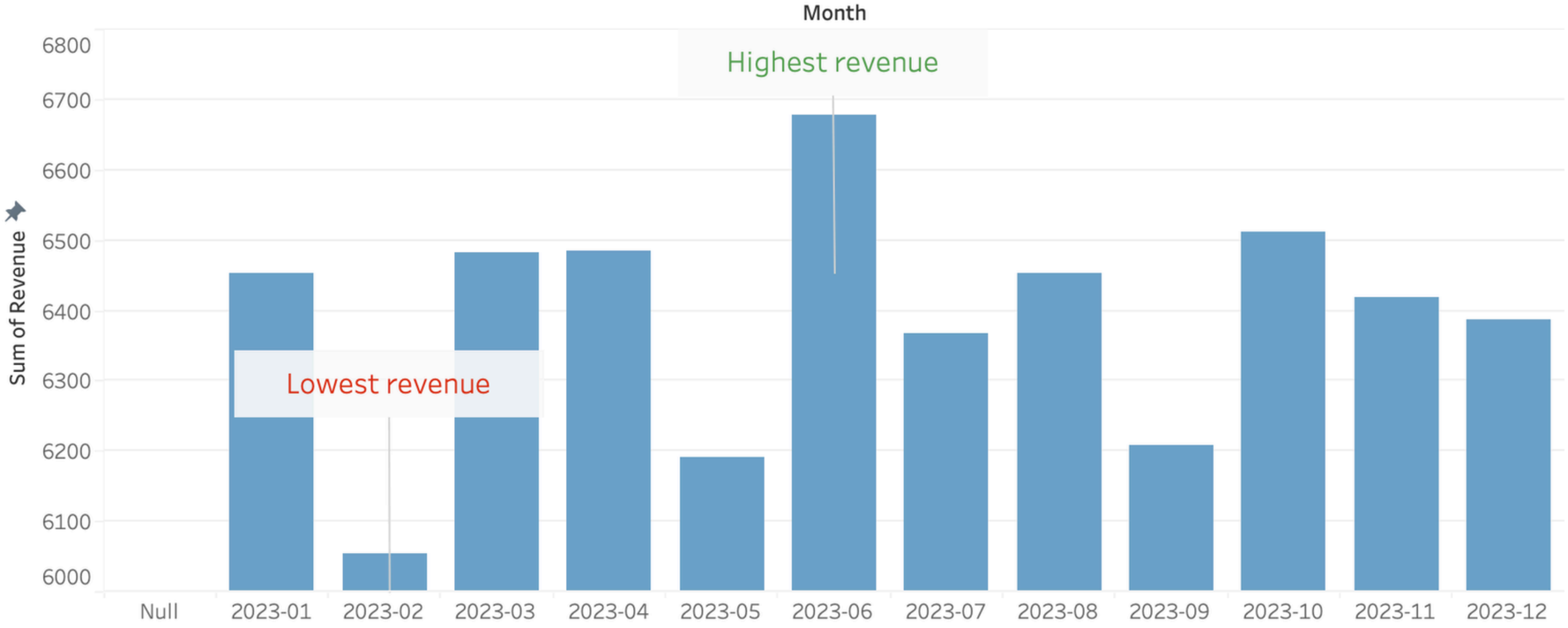
March had **higher volume**, but was **dominated by lower-priced products**

June sales shifted toward mid- to high-priced items (e.g., sandwiches, smoothies)

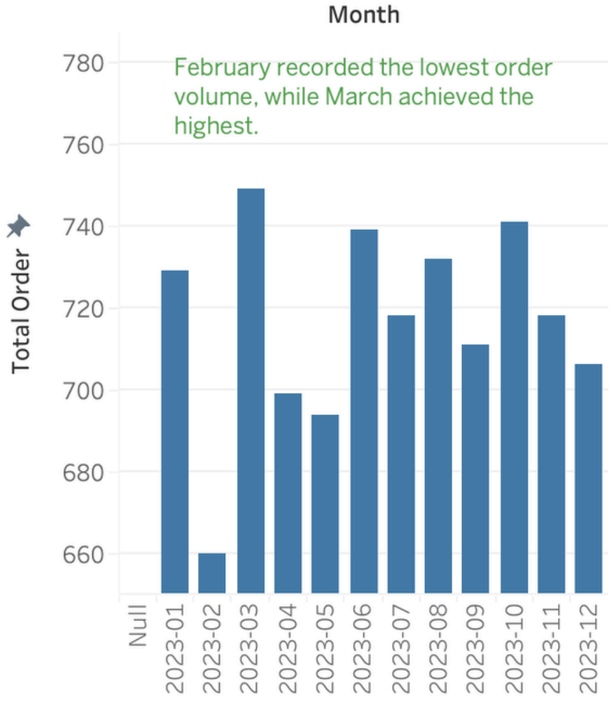


Monthly revenue

June revenue peak driven by product mix, not order volume.

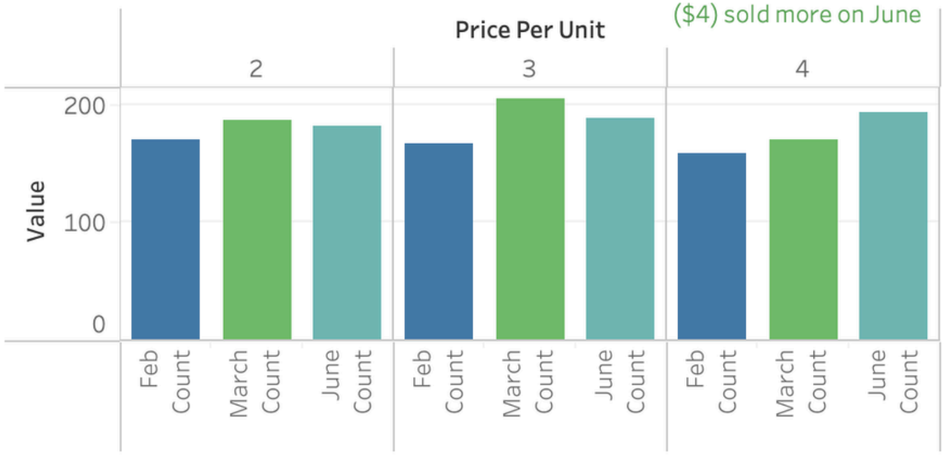


Order Volume Trend

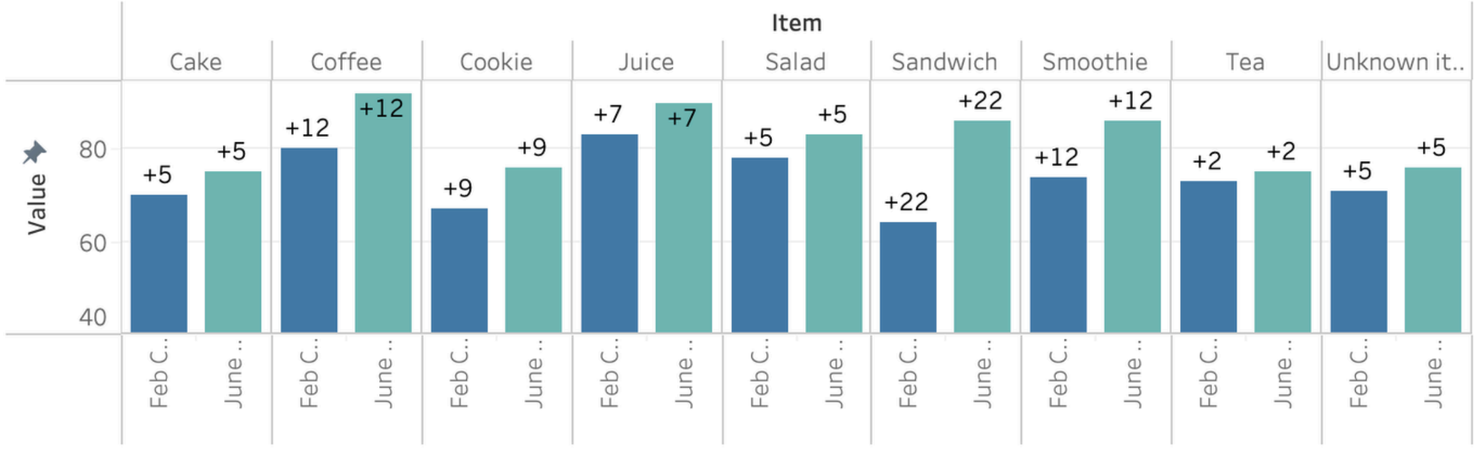


Product Mix Shift (March vs June)

Higher price product ($4) sold more on June



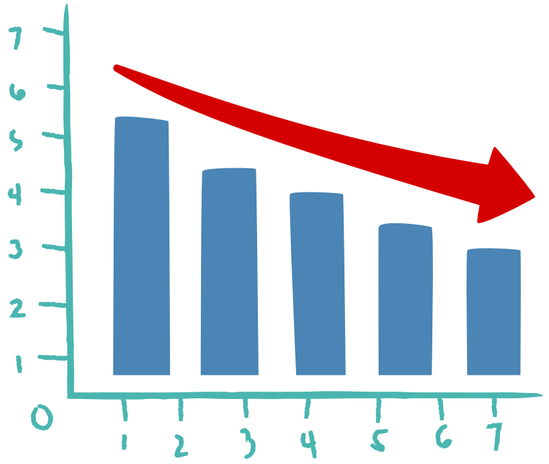
Order frequency by item



Revenue decline was driven by **reduced demand in lower-priced products**

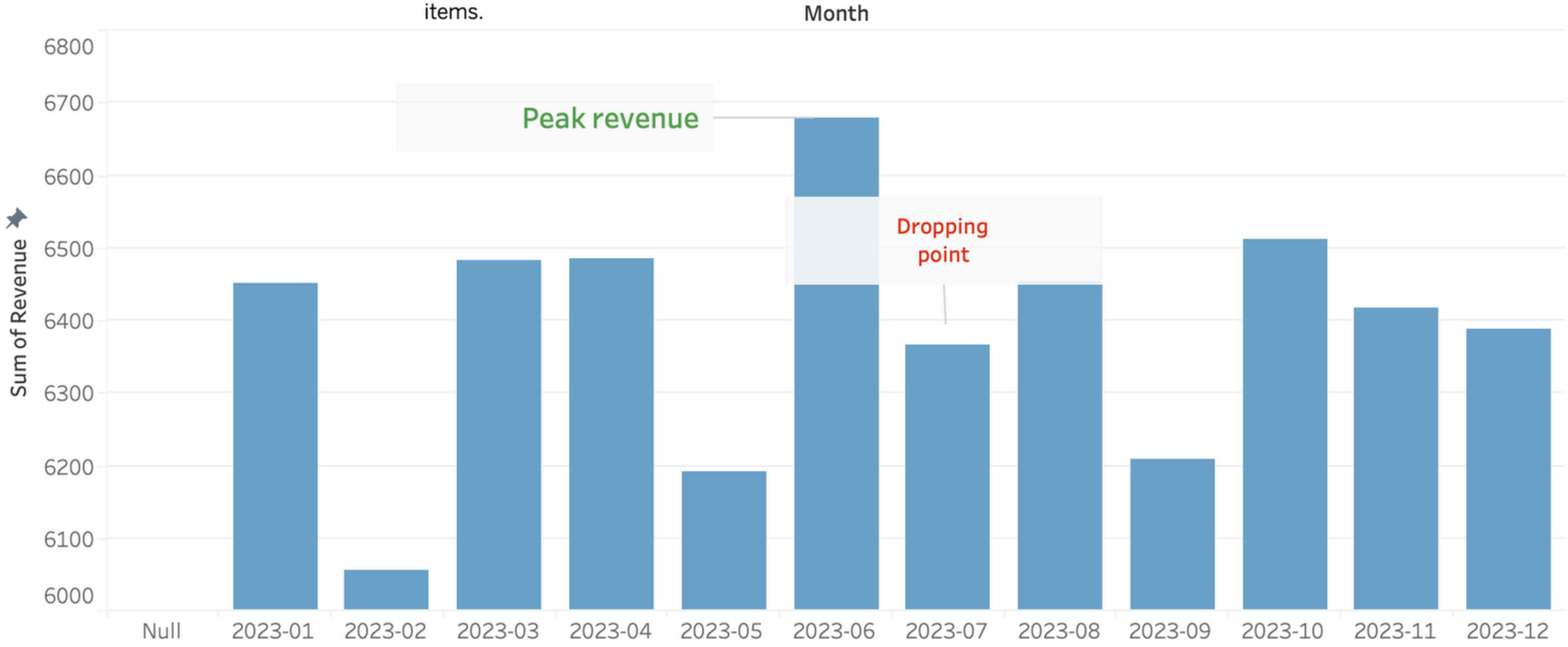
Revenue decline was driven by a **drop in order volume and quantity**

Low- to mid-priced items (e.g., beverages, ~$3 range) showed the **largest decrease**

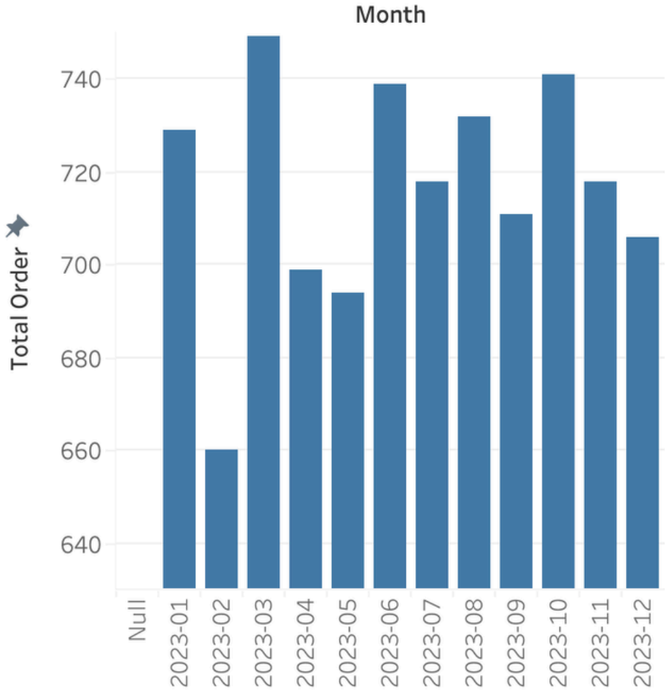


Monthly Revenue

Revenue decline driven by lower order volume, particularly in low- to mid-priced products.
Revenue decline from June to July corresponds with a decrease in order volume, particularly among lower-priced items.

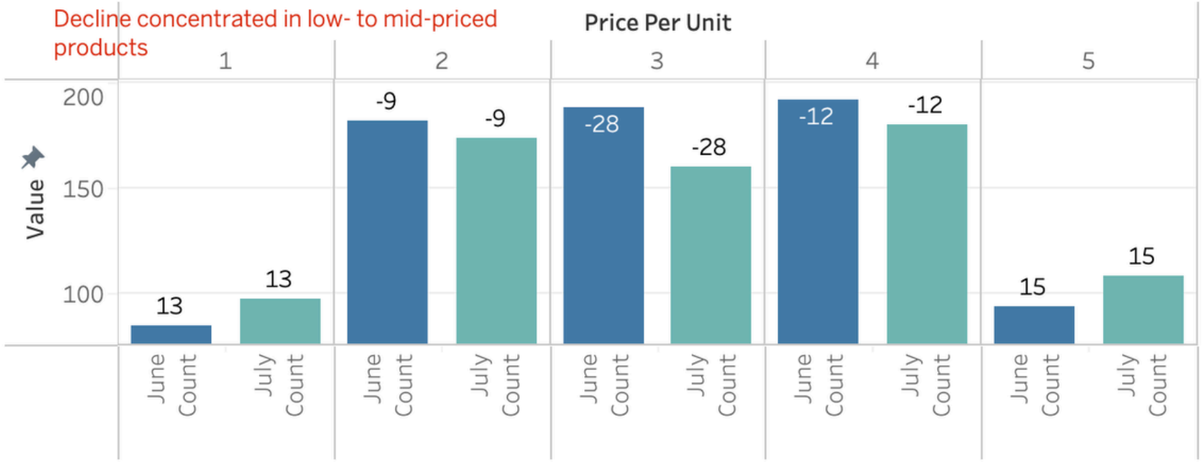


Order Volume Trend

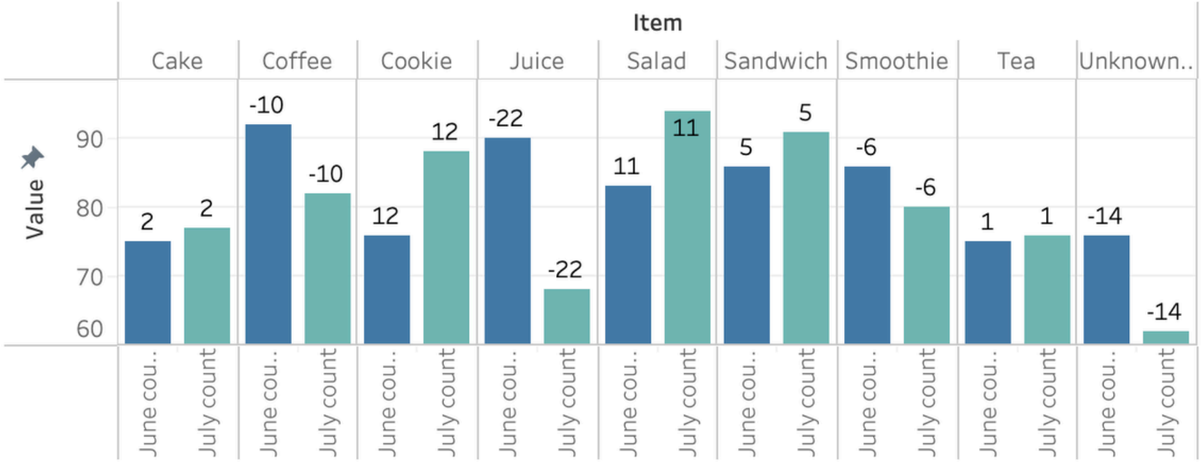


Order frequency by Price

Decline concentrated in low- to mid-priced products



Order frequency by Item



Revenue is driven more by **product mix** than customer volume

Revenue decline was driven by a **drop in order volume and quantity**

Low- to mid-priced items (e.g., beverages, ~$3 range) showed the **largest decrease**

Focus on **high-value product mix** to stabilize and grow revenue

Promote mid- to high-priced items (bundles, cashback incentives)

Bundle low-performing items with high-performing products to increase basket value

Use targeted promotions during low-demand periods to recover volume